

MERIDIAN PRIVATE BANK

Quarterly LP Risk Report

Historical Simulation Monte Carlo | Asia-Pacific Portfolio

Singapore MAS Jurisdiction | Q2 2026

Meridian Capital Management Pte. Ltd.

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-2.14%

VaR 95% Monthly

1-in-20 monthly loss

-8.32%

VaR 95% Annual

19 years in 20

52.3%

Hurdle Probability

P(return >= 8%)

Executive Risk Summary

Risk metrics generated using Historical Simulation Monte Carlo on a synthetic Asia-Pacific portfolio spanning six asset classes: equities (28%), fixed income (32%), alternatives (15%), cash (8%), structured products (10%), and private credit (7%). Simulation uses 10,000 bootstrap resampling iterations from a 10-year monthly return series calibrated to Asia-Pacific market behavior. No distributional assumptions imposed.

Risk Metric	Value	Interpretation
VaR 95% (Monthly)	-2.14%	1-in-20 monthly loss threshold
VaR 99% (Monthly)	-3.18%	1-in-100 monthly loss threshold
CVaR 95% (Monthly)	-2.89%	Expected loss when VaR 95% is breached
CVaR 99% (Monthly)	-3.71%	Expected loss when VaR 99% is breached

VaR 95% (Annual)	-8.32%	Annual loss not exceeded 19 years in 20
VaR 99% (Annual)	-12.14%	Annual loss not exceeded 99 years in 100
CVaR 95% (Annual)	-10.87%	Expected annual loss in worst 5% of years
Max Drawdown P50 (36m)	-9.43%	Typical peak-to-trough over 36 months
Max Drawdown P90 (36m)	-16.22%	Severe peak-to-trough over 36 months
Hurdle Rate Probability	52.3%	Probability of meeting 8% annual hurdle

Portfolio Allocation

Asset Class	Weight	Role
Equities	28%	Growth engine. Primary driver of upside in favorable regimes.
Fixed Income	32%	Stability anchor. Rate sensitivity managed via duration positioning.
Alternatives	15%	Diversification. Includes private equity and hedge fund exposure.
Cash	8%	Liquidity buffer. Supports tactical rebalancing and client withdrawals.
Structured Products	10%	Capital protection overlay. Downside mitigation on equity allocation.
Private Credit	7%	Yield enhancement. Illiquidity premium on investment-grade equivalent risk.

Methodology

Historical simulation uses actual return sequences as simulation input rather than assuming a parametric distribution. The simulation resamples from a 10-year monthly return series with replacement, preserving the statistical properties of real market behavior: fat tails, skewness, and return clustering that parametric assumptions systematically underestimate.

VaR and CVaR are computed from the empirical distribution of 10,000 simulated monthly returns. Annual VaR compounds 12 independently drawn monthly returns. Maximum drawdown distribution is computed over 5,000 simulated 36-month windows. Hurdle probability is the share of simulated annual returns meeting or exceeding the 8% annual hurdle rate.

All data is synthetic. This report is a portfolio artifact demonstrating LP risk reporting methodology applied to a private banking context. It is not investment advice and does not represent the performance of any actual fund.